# 4.5 Economic Schools of Thought

*Video: Economic Schools of Thought (Crash Course Economics)*

## Theories Change Over Time

In 1798, Thomas _____ argued that population growth would outpace _____. He did not factor in advances in technology, agriculture, or transportation, and he was wrong.

Economic theories are constantly being proven, disproven, and revised. Economics is not an exact science; it draws conclusions about human behavior without labs or perfect control groups.

## Early Thinkers

| Thinker | Key Idea |
|---|---|
| Adam Smith (The Wealth of Nations, 1776) | A person following their own _____ can serve the common good; supported free trade |
| David Ricardo | _____: two countries can both benefit from trade when each focuses on what it does best |
| Karl Marx and Friedrich Engels (1848) | History is explained by conflict between workers and property owners; predicted _____ |

The result was two main camps: free market _____, supporting private property, and communism, supporting collective ownership of the means of production.

## Classical and Keynesian Economics

Market-based theory through the end of the 19th century is called _____. Alfred Marshall defined ideas still used today, like supply and demand.

The _____ dealt a big blow to Classical Economics. John Maynard Keynes's 1936 book basically launched the field of macroeconomics.

Keynesians argue market economies don't _____ quickly because prices and wages take time to adjust, so during recessions the government should use monetary and _____.

Socialism: economies that allow private property and markets but also have government ownership of industry, significant regulation, and big public programs.

## Free-Market Schools

| School | Main Argument |
|---|---|
| _____ (Hayek, Mises) | Regulation and government tinkering are a problem, not a solution; the economy is too complicated to manipulate |
| _____ (Milton Friedman) | Supported privatization and deregulation; blamed the Depression on botched _____ |
| | Focus on price stability; increase the money supply slowly and predictably |
| | Deregulation and cutting taxes, especially corporate taxes |

Friedman's views got a boost in the 1970s during stagflation, which Keynesian economics had trouble explaining.

## Economics Today

Mainstream economics today combines classical (including monetarism) and Keynesian ideas, sometimes called the New _____.

| Response to the 2008 Recession | Approach |
|---|---|
| Keynesian | |
| Classical | Reduce budget deficits by cutting spending, called _____ |

Economists still debate which approach is right and when to use it. The video notes that the world's economies appear to be converging towards the middle.

## Think About It

During a recession, some economists argue the government should spend more, while others argue it should cut spending. Which argument do you find more convincing, and what evidence would change your mind? _____